

## Group Case 7 **Slides**

### Group Case 7: Computron

Q1. Generate a price bid and justify your bid.

Zimmermann should bid \$1.02 million.

First, Ruhr's expected bid is \$872,000, and König will consider Computron only if its price is no more than 20% higher:

$$\text{Maximum competitive price} = \$872,000 \times 1.20 = \$1,046,400$$

Computron's proposed premium is:

$$(\$1,020,000 - \$872,000) \div \$872,000 = 16.97\%$$

Therefore, the \$1.02 million bid remains within König's 20% limit and provides a \$26,400 cushion below the maximum competitive price.

Next, Computron's U.S. quoted price can be calculated by removing the \$67,200 transportation and installation cost and the 15% import duty:

$$\text{U.S. quoted price} = (\$1,020,000 - \$67,200) \div 1.15 = \$828,522$$

The contribution above factory cost is:

$$\$828,522 - \$768,000 = \$60,522$$

However, the allocated expenses are:

$$\text{R\&D expense} = \$828,522 \times 8\% = \$66,282$$

$$\text{Selling and administrative expense} = \$828,522 \times 6\% = \$49,711$$

$$\text{Fully allocated profit} = \$828,522 - \$768,000 - \$66,282 - 49,711 = -\$55,471$$

Thus, the bid generates a positive contribution of \$60,522 above factory cost but produces a fully allocated loss of approximately \$55,471. This strategic loss is reasonable because König is Computron's largest German customer, may purchase another \$4 million of equipment, and could provide work for the new Frankfurt facility. Computron should present the \$1.02 million price as a one-time discount for the training system rather than a permanent reduction in its standard price.